

concerns of outliving your assets means spending must be conservative. Ultimately, fearful retirees may end up spending less with an aggressive investment strategy than they might have had they focused more on fixed-income assets. This aggressive portfolio/conservative spending strategy can be rather inefficient, as the safety-first school argues that there is no such thing as a safe spending rate from a volatile investment portfolio. While this approach seeks to mitigate sequence-of-returns risk, it can actually increase it, as there is no lever to provide relief after a market decline. The only solution is to sell more shares to keep spending consistent. Conservative spending will be covered more in depth in chapters 4 and 5.

2. Maintain Spending Flexibility

The next approach keeps the aggressive investment portfolio of the prior strategy while allowing for flexible spending. Sequence risk is mitigated here by reducing spending after a portfolio decline, thereby allowing more to remain in the portfolio to experience any subsequent market recovery.

At the extreme, Dirk Cotton demonstrated at his Retirement Café blog that a strategy of withdrawing a constant percentage of remaining assets eliminates sequence-of-returns risk. Just like investing a lump sum of assets, the order of returns no longer matters. Such a strategy results in volatile spending amounts, so most practical approaches to flexible retirement spending seek to balance the trade-offs between reduced sequence risk and increased spending volatility by partially linking them to portfolio performance. Chapter 6 discusses flexible spending strategies more deeply.

3. Reduce Volatility (When It Matters Most)

A third approach to managing sequence-of-returns risk is to reduce portfolio volatility, at least when it matters the most. A portfolio free of volatility does not create sequence-of-returns risk. Essentially, individuals should not expect constant spending from a volatile portfolio. Those who want upside (and, thus, accept volatility) should be flexible with their spending and should make adjustments. Retirees can reduce volatility in several ways, at